

NB pitch deck

PITCH — NB — VERDICT

PROPOSED — PENDING ADJUDICATION — no position today; buy a 0.4%-of-book starter only after the FY2026 annual report lands (expected 2026-09-10/11) and answers two specific questions, at any price under about \$5.77.

What we believe

NioCorp (Nasdaq: NB) owns one asset: the Elk Creek niobium/scandium/titanium/rare-earth project in Johnson County, Nebraska. It is not built. Satellite imagery over five years (2021-06 → 2026-05) shows bare ground — no construction signature (built-up index +0.058, vegetation -0.067). First cash flow is at least five years away.

The August 2026 feasibility study puts the after-tax value of the built project at roughly \$3.44 billion in today's dollars. The company's whole stock is worth about \$675 million. Add the \$385 million of net cash it already holds, and the market is paying about one-fifth of what the study says the finished mine is worth.

The important part is the downside test. The study's biggest soft spot is scandium — a tiny market where NioCorp plans to produce roughly three times current world output. **If you assume scandium is worth exactly zero**, the project is still worth about \$1.92 billion, or about \$15 per share against \$4.64 today. Push it further: assume the company also has to sell \$650 million of new stock to build (roughly doubling the share count), *and* assume scandium is zero, and you still get about \$7.85 per share.

So our belief is narrow and specific: **the value of the rock is not the question. The question is who ends up owning it, and how many pieces it gets cut into on the way.** At \$4.64 you are being paid enough for that uncertainty that even the pessimistic path clears a 50% return.

What the market believes

The market believes this is a company that has spent thirteen years not building a mine, and that will pay for the next stage the way it paid for the last one — by selling stock to the people who already own it.

The evidence for that view is strong and public. In nine months the company did five equity raises at \$3.25, \$5.00, \$6.15, \$9.34 and \$5.00, plus an at-the-market program that sold 5,727,662 shares for \$38.7 million gross before expiring 2026-04-01. Total financing take: about \$435 million in nine months. The share count roughly doubled. Anyone who bought the October raise at \$9.34 is down 50%.

The stock is 63% below its 52-week high (\$12.58) and only about 21% off its low (\$3.82). That is not a market pricing a \$3.4 billion asset at a discount out of inattention. It is a market saying: *the asset may*

be worth that, but I will not own the path, because the path is priced in stock and the stock is the thing I hold.

The market is also, correctly, ignoring the headline “\$651 million financing gap” as a precise number. The company itself says in its own filings that it “is currently unable to estimate the total amount of EXIM financing, if any.”

Why we might have edge

1. Both of our benches independently failed to kill this on value. Our red team — whose job is to find the reason not to buy — wrote its own verdict as: “*valuation does not kill this.*” It found real problems, and every one of them was about *path* (financing, governance, timing), not about whether the asset is worth more than the price. When the designated skeptic builds a table showing +50% in its worst case, that is information.

2. The scandium attack that everyone makes is wrong on its face. The standard bear argument is that the feasibility study prices scandium at an unrealistic level. Our own red team made exactly this argument, using \$1,563/lb. The actual number in the study is **\$891.76/lb (~\$1,964/kg)** ([FS release, 2026-08-10](#)). Spot scandium trades roughly \$3,500–5,500/kg. **The study already prices scandium at about half of spot** — it has already taken the haircut the bears are demanding. That is a fact sitting in a press release that a whole bench got backwards. If our own adversary got it wrong reading the primary document, the market’s marginal seller very likely has too.

3. The downside math has a floor and we can state it. Most pre-production mining stories have no honest bear case, only a range of guesses. Here the single biggest uncertainty (scandium) can be set to zero and the answer is still \$15/share funded-free, \$7.85/share after a punitive dilution assumption. That is a rare structure: the thing that scares people is quantifiable, and quantifying it doesn’t break the trade.

4. Timing. The annual report lands in about twelve trading days and resolves three of the four things we don’t know. That is an unusually short wait for an unusually specific answer.

Why it might be priced in

Honestly: most of it probably is.

- **The share count story is the most-discussed fact about this company.** Our blue team explicitly downgraded it from “new finding” to “everybody knows this” — and blue is the bench arguing *for* the position. Five raises at falling prices is not a discovery; it is the reason the stock is at \$4.64.
- **The capex escalation is public.** Project cost went from \$1.14 billion (2022 study) to \$1.849 billion (2026 study), +62%. Return fell from 26% to 22.8%. Anyone who read both studies knows this.

- **The 0.2× price-to-value ratio may just be what this cohort trades at.** Neither bench pulled a comparison set of other pre-decision mining developers. Red flagged this as a gap in its own work and noted the normal range is roughly 0.05×–0.15× of project value. **If that’s right, NB at 0.20× is not cheap — it is expensive relative to its peers**, and our entire “80% discount” observation is just a description of how the whole category is priced. This is the single biggest unresolved threat to the thesis and we have not done the work.
- **There is no analyst number to disagree with.** No revenue line exists, so there is no consensus estimate we can prove is wrong. We are not front-running a revision; we are taking the other side of a mood.

What could go wrong

(pre-mortem, v1.7)

Failure narrative 1 — The permanent seller grinds us down. (Monitorable.) The company needs somewhere between \$262 million and \$664 million of equity that it does not have — 39% to 98% of the entire current market cap. It raises it the way it raised the last \$435 million: common stock, into the tape we own, at whatever price clears. The board has already revealed it will sell at \$3.25. The project advances exactly as we hoped, and our slice of it shrinks faster than the slice appreciates. *Tripwire: a new shelf registration (S-3), any takedown prospectus (424B5), a restarted at-the-market program, or the share count on any quarterly filing. All observable within days.*

Failure narrative 2 — Scandium can’t be sold at all, and the market decides that means the whole study is fiction. (Partly monitorable.) The project plans 118 tonnes/year of scandium oxide against roughly 40 tonnes of world production and 60 tonnes of world consumption. The only offtake in existence is a **non-binding** 15 tonne/year memorandum with Lockheed Martin ([MOU](#)). The financial risk is bounded — scandium is about 22% of life-of-mine revenue and zeroing it still leaves \$15/share. The *narrative* risk is not bounded: if no binding contract ever appears, the market may reasonably conclude that a study which can’t sell a fifth of its output is wrong about the other four-fifths too, and refuse to pay for any of it. *Tripwire: announcement of a binding, priced offtake. But the failure mode here is silence, and silence has no date — you can wait three years for a non-event.*

Failure narrative 3 — NO MONITORABLE TRIPWIRE — the decision that never gets made. The final investment decision simply does not happen. Not cancelled — deferred. EXIM negotiates and re-negotiates. A strategic partner discusses terms for eighteen months and walks. Nebraska permitting, federal appropriations, an offtake counterparty’s own capital cycle — each slips a quarter, none of them announces anything. The ground at Elk Creek looks identical on day 1 and day 1,800; our satellite detector returns `construction_activity=False` every single month and is never wrong and never useful. Meanwhile the company keeps raising money to fund the wait. There is no filing that says “we decided not to decide,” no 8-K for an absence, no earnings print to grade a forecast against, and no price gate that distinguishes “cheap and waiting” from “cheap and dead.”

Unknown-unknown class: silent deferral / negotiation opacity — the failure is a non-event, and every instrument we own detects events. Our entire sensor architecture (filings,

prints, price gates, satellite change-detection) is built to catch state changes. This failure mode is the absence of a state change. A related sub-class is live right now: an \$8.4 million cash business combination closed inside the last nine months, and neither the counterparty nor whether it was a related party is disclosed anywhere we could find — **undisclosed-counterparty risk**, where the thing that matters happens in a room and reaches us, if at all, as a footnote quarters later.

The reflexive and structural leg.

- *Our own size*: proposed at 0.4% of book against a \$675 million-cap Nasdaq name. Market impact from our own trading is almost certainly immaterial — **but we never actually measured average daily volume. Neither bench pulled it. That is an unmeasured input in a sizing decision, and I am flagging it rather than assuming it away.**
- *Predicted flow — and the inversion*: our standing rule is never to bid into flow we ourselves predict. Here the predicted flow is not ours, it is the issuer's, and it is supply. That rule therefore hardens into a specific operational constraint: **no resting good-till-cancelled ladder on this name**. A standing bid underneath the market, on a company with a demonstrated willingness to print stock at \$3.25, is a free option written to the issuer's treasury. Equally, no resting order into the annual report — a passive bid across a scheduled disclosure is an accidental short-volatility position with no compensation.
- *Doctrine interaction — the label is doing too much work*: blue's recommendation labels this "fairly-paid risk," a category that requires fairness to be **verified** and the tails **bounded**. Fairness here rests on a project valuation we have not audited line by line, produced by the company whose stock we would be buying. The tails are bounded only in the scandium dimension. **I do not think this name currently earns that label, and the deck should say so rather than inherit it.** Separately: our graded record on trades built around a scheduled disclosure is 0-for-7. This position is deliberately structured to enter *after* the disclosure, not into it, which is the only version of the timing that our own history supports.
- *Selection pressure*: this deck exists partly because a count of new ideas was being assembled. That is a known bias toward saying yes. Noting it explicitly.

If this position loses money, the most likely reason will be that we were right about the rock and wrong about the share count — the project advances roughly as the study describes, and the \$262–664 million equity gap is filled by issuing common stock into our own tape until our percentage of a real prize is worth less than what we paid for it.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Scandium priced aggressively in the study	Read the company's own feasibility release, not the summary	Deck is \$891.76/lb $\approx$ \$1,964/kg , roughly half the \$3,500–5,500/kg spot band	NO — refuted. Our red bench used \$1,563/lb, a 76% overstatement, and built its central attack on it. It attacked an

Claim	How checked	Found	Confirmed?
			<i>assumption the study never made.</i>
Fully diluted share count is understated by ~13%	Read the quarterly equity note directly	The 2.6M pre-funded warrants were already exercised into shares by 2026-03-04 and are inside the 145,587,048 cover count. Real diluted count $\approx$ 153.4M (+5.4%)	NO — refuted. Red double-counted shares that already existed. This was red's headline finding.
Cash burn is ~\$52.7M/year	Decomposed the investing line of the cash-flow statement	\$27.66M investing = \$19.21M capitalized spend + \$8.40M one-time acquisition + \$0.05M deposits. Recurring use $\approx$ \$41.5M/year $\rightarrow$ about 10 years of runway on \$419.2M cash	PARTLY. Red was right the original brief used only one of two lines; red was wrong to treat a one-time acquisition as a run rate — 21% overstated.
The poison pill blocks the takeout that would pay us	Read the rights-plan 8-K text (2026-04-06)	Pill is real: 20% trigger, adopted 2025-11-21, extended to the 2027 annual meeting. But a rights plan does not block a negotiated sale — the board waives or redeems. It blocks hostile creeping accumulation	NO — mechanism refuted. This was labelled red's "strongest single kill" and it rests on a mischaracterized instrument.
Board voted itself cash bonuses while diluting holders	Read the 8-K (2026-07-08)	The incentive plan covers "substantially all of the Company's... regular full-time employees," designed with an outside consultant	NO — refuted. A company-wide bonus plan was presented as self-dealing.
\$650M dilution still leaves 50%+ upside	Rebuilt the arithmetic	Red's post-raise column added the raise proceeds on top of a project value that already includes the capex those proceeds fund — double-counting. Corrected, deck case = \$13.04/sh post-raise (not \$14.05), scandium-zero = \$7.85/sh	YES, but only after correction. Conclusion survives; red's table overstated it.
Financing gap is \$651M	Traced to the EXIM letter of interest (2023-03-06)	It's a range, \$262M–\$664M , depending on whether EXIM scales its 65–70% coverage to the new \$1.849B capex. Company says it cannot estimate the amount "if any"	PARTLY. The point estimate was false precision. The low end is our own arithmetic, not EXIM's — do not quote it as EXIM's.
Current price and drawdown	Attempted a live broker price	Broker connection was denied this session. Used a vendor close of \$4.64 (8/21) against a pack price of \$4.29 (8/20). Our automated checker flagged the mismatch	NO — unverified. Both benches quoted drawdown figures computed off an unconfirmed tick. The arithmetic is right; the input is not sourced to our own broker, which our own rules require.

Claim	How checked	Found	Confirmed?
Next report date	Checked filing history rather than the vendor feed	FY2025 annual report was filed 2025-09-11; fiscal year ends 6/30 → FY2026 annual report expected 2026-09-10/11 . The vendor's 2026-09-28 is wrong	YES, by precedent only — no company statement confirms it.
Construction underway	Satellite change-detection, 2021-06 → 2026-05	construction_activity=False. Bare ground	YES — pre-decision confirmed.
Is 0.2× project value actually cheap for this type of company?	—	NOT CHECKED. No peer set was pulled by either bench. Red's own estimate of the normal range (0.05×–0.15×) would make NB <i>expensive</i>	NO — this is the largest hole in the thesis.
Trading volume vs our size	—	NOT CHECKED. No average daily volume pulled	NO.
The \$8.4M business combination	Searched the quarterly filing (10-Q, 2026-03-31)	Cash paid is disclosed. Counterparty, terms, and whether it was a related party are not	NO — open item for the annual report.
Is this a stock-promotion pattern?	Ran the pattern detector	Not a match — British Columbia/Colorado issuer, Nasdaq-listed, no offshore structure. Feature overlap was a false positive	YES — cleared.

Where the evidence pack itself failed us: the financial data block was stale (cash-flow figures ended 2024-09, stock-compensation figures ended 2020-09, diluted share count blank) and was discarded by both benches. The next-report date was wrong. Everything load-bearing in this deck was re-fetched from primary filings.

PROPOSED ENTRY BANDS

No entry today. Flat into the annual report.

Red argued flat because the annual report would restate the share count upward — that rationale is dead, since the share-count finding was overturned. But three reasons to wait survive, and they are the ones that matter: the annual report is the first document that discloses (a) the full-year investing/capital spend, (b) the note explaining the \$8.4M acquisition and its counterparty, and (c) the current state of the EXIM discussion. Twelve trading days is a cheap wait for three answers.

Starter — after the report clears - Trigger: FY2026 annual report filed (expected 2026-09-10/11) **and** the business-combination note discloses a non-related-party counterparty **and** full-year investing cash use comes in **below \$35 million**. - **Size:** 0.4% of book. Unlevered. Sleeve-capped. Bought with marketable limit orders across at least two sessions — **no resting good-till-cancelled ladder** (see the reflexive leg above). - **Price ceiling: \$5.77.** This is derived, not asserted. Take the scandium-zero project value of \$1.918 billion, add \$385 million net cash, and assume the company must sell \$650 million of stock at whatever price you pay. Solve for the price at which you still make 50%: $1.5 \cdot P \cdot (153.4M + 650/P) = \$2,303M \rightarrow P = \$5.77$. Below that, the worst honest case still clears our bar. Above it, you are paying for the good case. At \$4.64 the same math gives \$7.85/share, a 69% return in the pessimistic scenario. - **Do not buy in the five sessions before or the session of the report.**

Adds — 0.4% per confirmed trigger, hard cap 1.2% of book. (*Step sizes are mine; the benches specified the triggers, not the sizes.*) 1. A **final** EXIM commitment naming a figure $\geq \$1.2$ billion — not another letter of interest. 2. A **binding, priced** scandium offtake of ≥ 40 tonnes/year. The Lockheed memorandum is non-binding and 15 tonnes; it does not count. 3. Financing that is **not common stock** — a royalty, stream, project-level equity, or a Department of Defense instrument.

Trims and exits - Any new shelf registration or restarted at-the-market program before an add trigger fires → **stop adding, hold, re-underwrite**. This is the failure narrative firing. - A **primary issuance priced below \$3.25** → **exit**. That price is the board's own revealed floor from the last nine months. Breaking it means the terms are worse than anything we underwrote. - **Full-year investing cash use above \$35 million in the annual report** → **do not open the starter at all**. - **Trim at \$15.01** — the scandium-zero, funded-free value. Above that you are no longer being paid for the path risk that is the entire reason for the position. - **If the board uses the rights plan to block a bona fide, fully financed offer** → **exit**. The pill itself is fine; using it that way would prove red's mechanism after all.

Catalyst dates - **2026-09-10/11 — FY2026 annual report (Form 10-K)**. Inferred from last year's filing date; **not confirmed by the company**. This is the only dated catalyst that exists. - EXIM decision: **no date**. Company will not estimate. - Scandium offtake: **no date**. - Rights plan runs to the 2027 annual meeting: **no date set**.

Three of four catalysts have no date. That is the position in one line.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.25 (deck-provisional: Board's revealed reservation price from the last nine months of raises; a primary issuance below this)
- filing watch: 10-K until 2027-02-19 (deck-provisional: FY2026 annual report (expected 2026-09-10/11) discloses full-year investing spend, the \$8.4M business-)
- dated pack NB|2026-09-10: NB: FY2026 Form 10-K (fiscal year ended 6/30). Inferred from the FY2025 10-K filed 2025-09-11; the vendor feed's 2026-09-28 is wrong. No com

What remains unverified

1. **The current price.** Broker access was denied this session. We are working off a vendor close of \$4.64 that neither bench could confirm, against a pack price of \$4.29. Our own consistency checker flagged this. **Re-price from the broker before any order.**
2. **Whether 0.2× project value is cheap.** No peer set of comparable pre-decision developers was ever pulled. If the normal range is 0.05×–0.15×, the central observation of this pitch is backwards. **This work must be done before the starter, not after.**
3. **Average daily trading volume.** Unmeasured, in a deck that proposes a size.

4. **The \$8.4 million business combination.** What was bought, from whom, related party or not.
5. **The scandium-zero project value of \$1.918 billion.** This is scaled from a bench's sensitivity, not taken from the feasibility study. The study's actual sensitivity tables were not read line by line. Every downside number in this deck depends on it.
6. **Whether 118 tonnes/year of scandium can be sold at any price.** The volume problem — roughly 3× world production — survived both benches completely intact. It is the one attack nobody could answer.
7. **The entire feasibility study.** We have not audited its recoveries, grades, operating costs, or the 40-year mine life. We are quoting the seller's own valuation of the thing the seller is selling.
8. **Whether EXIM lends anything.** The company says it cannot estimate the amount "if any." Our \$262–664 million range is our arithmetic on a 2023 letter of interest against a capex number that has since risen 62%.
9. **The annual report date.** Inferred from last year. No company confirmation.

Net: the two benches agree on the conclusion — this is a duration bet against an issuer that has shown it will sell stock at any price, wrapped around an asset that survives its own worst case. They disagree on timing, and the disagreement resolves itself in twelve trading days. The honest summary is that the value case is stronger than we expected and the process case is weaker: four of red's findings were wrong on primary documents, no sensor is armed, the peer comparison was never done, and we don't have a verified price. **Fix the last three before adjudication.**

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